Ather Energy Ltd

Concall Tracker - Q1 FY27 update | Electric two-wheeler maker | NSE: ATHERENERG · BSE: 544397 | Report date: 06 November 2026 | Latest call read: Q1 FY27 (03 Aug 2026)

This report continues our Q4-2026 read of Ather Energy. It deep-reads the one new earnings call (the "concall") and asks the same two questions: **(1)** is there a durable reason profits should keep growing (an "earning trigger")? **(2)** is management doing what it said it would?

1. Snapshot

What the business does: Ather designs and sells premium electric scooters in India - the sporty **450** and the family-oriented **Rizta** - and earns extra, higher-margin money from a software pack (AtherStack Pro), accessories, servicing and its own fast-charging network. A cheaper scooter on a new low-cost platform (called "EL" internally) launches at its Community Day on 29 Aug 2026.

Figure	Value	Plain-English read
Market capitalisation	₹72,203 crore	What the whole company is worth on the stock market at scrape time (Nov 2026), the share (₹1,822) is near its 12-month high of ₹1,840, about three times its low.
Q1 FY27 revenue	₹1,217 crore	Sales for Apr–Jun 2026 (Screener), up about 89% on the same quarter last year - sales nearly doubled.
Wholesale units, Q1 FY27	83,000	Scooters shipped to dealers, up 81% from 46,000 a year ago - despite a labour crisis and supply shocks in April.
Retail registrations, Q1 FY27	90,000+	Scooters actually bought by customers, up 102% - buyers are taking them faster than the factory can make them.
EBITDA (management-stated)	₹9 crore (~0.8%)	Operating profit before interest, tax and depreciation turned positive for the **first time ever**. Small, but a milestone. (Screener's own calculation still shows a small operating loss and a net loss of about ₹51 crore for the quarter.)
Adjusted gross margin	22.4%	What is left from each ₹100 of sales after the direct cost of the scooter - down from 25.4% in Q4 because raw-material costs jumped.
Average selling price	₹1.61 lakh (June)	Up from about ₹1.5 lakh last quarter through price hikes and richer variants - customers absorbed it.

2. Concall coverage

Quarter	Call date	How it was read
Q4 FY25 → Q3 FY26 (4 calls)	May 2025 – Feb 2026	Carried forward from the Q4-2026 report
Q4 &, FY26 (prior boundary)	04 May 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr–Jun 2026)	**03 Aug 2026**	**Newly deep-read in full ★**

Only the new Q1 FY27 call was read in full. The backstory comes from the prior report. A later call (26 Oct 2026, Q2 FY27) exists but is outside this report's window and was not read. Six calls now span about 15 months since listing - still a short record.

★ Latest concall highlights - Q1 FY27 (call held 03 Aug 2026)

- **First-ever positive operating profit.** EBITDA of about ₹9 crore (~0.8% of sales), achieved through tight control of marketing and other fixed costs. *Read: the break-even management promised at listing has arrived, if only just.*
- **Demand far outruns supply.** Paid pre-orders hit 1.5 lakh in the quarter (up 158%). Dealer stock fell from 14 days to 3. Waiting times reach two months in some states. Management estimates it could have sold 13,000–15,000 more scooters a month. Electric share of the scooter market is now above a quarter, helped by fuel-availability worries, rising petrol prices and Delhi's new EV policy. *Read: the constraint is the factory, not the customer.*
- **Costs hurt, prices covered part.** Raw-material costs are up about 46% over five quarters, knocking 5.6 points off gross margin. Price hikes lifted the selling price to ₹1.61 lakh by June. Management expects at most another 1–2 points of cost pressure, largely offset by price hikes already taken. *Read: the margin squeeze flagged last time happened, but it now looks capped.*
- **Capacity and cash.** Hosur is at ~100% of its 35,000-a-month capacity. The new AURIC (Aurangabad) plant adds 42,000 a month: trial production from the festive season, steady output from January, full ramp in four to five months - possibly spilling into early FY28. Ather raised ₹1,300 crore via a share placement (QIP) and is seeking approval for ₹1,200 crore more by preferential issue. A second AURIC phase could add 5 lakh units a year. *Read: capacity more than doubles from late 2026, funded by new shares.*
- **EL scooter ready.** Homologation done, production begun at Hosur. Up to 60,000 a month of EL capacity planned across both plants. It will likely take some sales from Rizta and lower the average price. *Read: the mass-market product is on the timeline promised.*

Tone: the most bullish yet ("demand has gone into a different orbit"), but careful not to give a Phase-2 timeline before Phase-1 is live.

Business mix & capacity (quick-glance panel)

Domestic vs export: Essentially all sales are in India. Exports (Nepal, Sri Lanka) remain tiny and are not broken out. Non-vehicle income (software, accessories, service) is about **14%** of operating revenue, with AtherStack Pro attached to **94%** of scooters. *Read: a ~100% India business with a growing, high-margin add-on stream.*

Capacity / utilisation: Hosur runs at roughly **100%** of 35,000 units a month (~4.2 lakh a year). AURIC Phase-1 takes total capacity to about **9.2 lakh a year**, and Phase-2 could take it to ~14.2 lakh. *Read: no headroom today. The next leg of growth waits on the new plant.*

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 04 May 2026). Prior verdicts: **Trigger YES** · **Management consistent YES** (short post-listing record).

Prior read	What we said then	What the new call shows	Movement
Trigger: volume + flat fixed costs → break-even	Strong, EBITDA loss ~2% in Q4	First positive EBITDA, volumes +81%, registrations +102%	Confirmed

Commodity-cost squeeze	New warning, short-term margin pressure	Hit was 5.6 points of gross margin, a bit worse than expected, now seen as near its top and mostly covered by price hikes	On-track
EL platform by FY27 festive	Unproven but on schedule	Homologated, in production, launch 29 Aug 2026	On-track
AURIC trial before end-2026	Slipped 2–3 months earlier, then on schedule	Trials from festive season, go-live "later this calendar year", full ramp may slip into early FY28	On-track (watch)
Store expansion	Doubled to 700 stores	Deliberately paused in Q1 because supply is short, to resume after AURIC	Paused (sensible)
Management consistency	Yes	Promises kept, break-even reached, new fundraise means more shares	Confirmed

Verdict change this quarter: both verdicts **unchanged at YES**. The trigger is stronger because break-even is now in the numbers and demand has stepped up.

3. Earning-trigger thesis ★

The driver is unchanged and is now visibly working: more scooters through a fixed cost base, plus high-margin software, has pushed Ather to its first positive operating profit. What is new is the scale of demand - management says the market is running ahead of anyone's forecast - so the near-term trigger is simply **capacity**: AURIC more than doubles output from late 2026, and the cheaper EL scooter opens the larger mass market. The risks are execution of the factory ramp, raw-material costs, and whether the government's PM E-DRIVE subsidy is extended (still undecided).

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Scale → profit	Fixed costs held flat while volume grows	EBITDA turned positive (~0.8%)	Now	Strong	↑ improving - break-even reached
Demand surge / EV adoption	Policy, fuel worries and running-cost savings driving a structural shift	Pre-orders +158%, registrations +102%, dealer stock 3 days	Now	Strong	↑ improving
AURIC factory	+42,000 units a month, go-live late 2026, full ramp in 4–5 months	Assembly line set, paint shop on trial, funding raised	Q3 FY27 – early FY28	Moderate–Strong - on track, not yet producing	unchanged
EL low-cost platform	Launch 29 Aug 2026, up to 60,000 a month capacity	Homologated, production started	FY27–FY28	Moderate - no sales yet	↑ improving
Software / non-vehicle revenue	Service revenue to compound with fleet size	Attach rate 94%, non-vehicle ~14% of revenue	Ongoing	Strong	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

FY25 call (May 2025)	FY26–FY27 "transformational for the P&L", operating leverage to cut losses	EBITDA loss –23% (FY25) → positive in Q1 FY27	Delivered
FY25 call	Double stores toward peers' 700–800	700 stores by Mar 2026	Delivered
Q1 FY26 (Aug 2025)	AURIC go-live "next year"	Slipped 2–3 months, now late 2026, full ramp possibly early FY28	Partly
Q4 FY26 (May 2026)	Commodity costs to pressure margins short-term	Gross margin down 3 points to 22.4%, hit a little worse than expected, price hikes partly covered	Delivered (as flagged)
Q4 FY26 (May 2026)	EL launch by FY27 festive season	Launch on 29 Aug 2026, production started	Delivered (on time)
All calls	Software attach rates to hold as volumes grow	Rose to 94%	Delivered / beat

Narrative drift: None of substance. The same roadmap - Rizta, distribution, EL platform, AURIC, motorcycles later - has been told the same way for six calls, and each step is landing in order. Motorcycles are now "two years plus" away, consistent with earlier framing. The one change is funding: having said little about raising money, Ather has now raised ₹1,300 crore and seeks ₹1,200 crore more, which means existing holders own a slightly smaller slice. That is a reasonable response to a demand surge, not a story change. Tone moved from "breakthrough year" to "different orbit".

5. Bottom line - two verdicts

Durable earning trigger? → YES vs last quarter: unchanged (strengthened)

What moved it: the first positive operating profit. The trigger - volume through a fixed cost base, plus software - is no longer a forecast. Demand has jumped, the factory is full, and the next plant and a cheaper product are weeks to months away. The caveats are real: the company still posted a net loss, profit is wafer-thin, raw-material costs could rise again, the subsidy's future is unclear, and the share price already assumes a lot. But the earning trigger is concrete and in the numbers.

Management consistent? → YES vs last quarter: unchanged

Nothing on this call contradicts what was said before. Management warned of the commodity squeeze and it came. Promised break-even and delivered it. Promised EL by the festive season and is launching on time. The only soft spot remains AURIC's timing, which slipped earlier and whose full ramp may now edge into FY28 - disclosed openly. The record is still only about 15 months long, so the Yes rests on a short but clean history.

Sources: Ather Energy Q1 FY27 earnings-call transcript (03 Aug 2026, via Screener.in). Prior Q4-2026 concall-tracker report (calls May 2025 – May 2026). Screener snapshot and quarterly table at scrape time. Figures are as stated by management unless marked Screener. The Q2 FY27 call (26 Oct 2026) was not read. Educational read-through, not investment advice.